

If You Only Watch One Trading Process Video, Make It This: Summary & Key Takeaways — Glimpse

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The Momentum Model: Elite Trading Process Breakdown

Summary of the video "If You Only Watch One Trading Process Video, Make It This" by Chart Fanatics.

Jeff Holden from SMB Capital reveals the four-element momentum model used to develop elite traders. The framework centers on identifying mistakes through daily report cards, diagnosing root causes using the five whys technique, implementing clear solutions, and stacking small wins through consistent repetition—rather than chasing one big breakthrough moment.

The Problem: Why Most Traders Fail

The Friction Cycle

Traders set goals, encounter friction when reality hits the market, then blow up their plan and start over. This cycle repeats without building momentum because each restart erases progress. The pattern keeps traders stuck in a loop of failure rather than growth.

Perfectionism Kills Growth

Many traders believe they cannot make mistakes and must be perfect. This mindset causes them to focus on themselves and their P&L rather than the market's opportunity-generating machine. Paradoxically, traders who embrace mistakes and learn from them grow fastest.

The P&L Curve Reality

Traders want a straight upward P&L line, but consistent traders show a curve with ups and downs. The goal is not a flat line but an upward trend built through compounding small wins, not one big breakthrough.

The Four-Element Momentum Model

Element 1: Identify Mistakes via Daily Report Card

Each day, traders list 3-4 mistakes without judgment—sold too early, didn't respect stop, held too long. This isn't self-criticism; it's data collection. Over a week, patterns emerge showing the same 2-3 core mistakes repeating.

Element 2: Diagnose with Five Whys

Take the #1 mistake and ask 'why' five times. Most traders stop at one or two whys, but the real solution emerges at the fourth or fifth level. This technique, borrowed from Toyota, forces deep root-cause analysis instead of surface-level fixes.

Element 3: Implement Clear Solution

Once diagnosed, the solution becomes obvious and specific. For example, if the five whys reveal you don't know how a trade should play out after entry, the solution is studying price action and tape reading for that setup—not vague promises to 'do better.'

Element 4: Navigate Friction and Stack Small Wins

Implementing the solution creates friction—the market tests you, you make new mistakes, but you loop back through the process. After 1-2 cycles, you achieve a small win. Stacking these small wins compounds into momentum and visible P&L

growth.

Small Wins vs. Big Moments

Growth Mindset: Next Win, Not Outcome

Outcome-focused traders celebrate a small win and expect big P&L jumps. Growth-minded traders get a small win and immediately ask 'what's next?' This mindset shift determines whether traders compound gains or plateau.

The Click Moment Myth

Traders often describe a 'click moment' where everything suddenly worked. In reality, that moment is the result of dozens of small wins stacked over time. There is no single breakthrough; only consistent process execution.

Compounding Wins Build Confidence

As small wins accumulate, traders gain confidence to take larger opportunities. The P&L curve doesn't hockey-stick up; instead, wins come at higher levels with fewer trades needed. This is how \$50/day traders become six-figure earners.

Risk Management & Prioritization

One Goal at a Time

Research shows working on two goals simultaneously means you'll fail at both. If a trader identifies both stop-loss and take-profit issues, they must fix stop-loss first—risk management is the foundation. Only after mastering one skill should they move to the next.

Trade Grading System

SMB grades trades A+, A, B, or C based on setup quality. Risk allocation scales with grade: A+ gets 80% of daily stop, B gets 15%, C gets 5%. This prevents oversizing on weak setups and ensures capital preservation.

Playbook Development

Start with One Playbook

Unprofitable traders should master one playbook before adding others. This creates a structural foundation for understanding entries, exits, and risk. Once one is solid, expanding to four playbooks becomes straightforward.

From One to Four Playbooks

Developing traders need approximately four playbooks to adapt to market shifts. Experienced traders have 18-25. The jump from one to four is easier than from zero to one because the process is already established.

Baseline vs. A+ Playbooks

Traders should build baseline playbooks first (consistent, lower-risk setups), then layer A+ playbooks (rare, high-reward setups). A+ opportunities don't happen often; baseline playbooks generate steady small wins while waiting for A+ moments.

Real-World Trade Example: 9 EMA Continuation

Identifying the Setup

Microsoft showed a mini hitchhiker consolidation, then broke above the 9 EMA with volume. The resistance level (455) was tested twice; buyers aggressively bought it back both times, signaling institutional buying. This is a B-grade setup worth 15% of daily stop risk.

The Mistake: Selling Too Early

Many traders sell when the trade 'doesn't feel right' or when they're up money, inventing reasons to exit. But if the 9 EMA holds and volume sustains, the trade is doing exactly what it should. Selling here means missing the real move.

The Solution: Trail the 9 EMA

Exit only on the first close below the 9 EMA. This rule removes emotion and keeps traders in winning trades. The trader in the example held through multiple pullbacks and captured a massive move by following the plan.

Why This Matters

This trade teaches the difference between a trade 'not working' and a trade 'not working yet.' Institutional buying looks different from retail panic. Recognizing this pattern and trusting the plan builds confidence for future opportunities.

Building a Trading Career

The 10-Year Horizon

SMB plans for traders to have 10-year careers. In that span, expect 2 exceptional years, 2 mediocre years, and several middle years. This mindset removes pressure to perform every month and focuses on long-term process.

Pods and Collaboration

Trading alone is possible but slower. Working with one or more traders accelerates learning through shared observations and accountability. The best pods don't trade identically; they have different time horizons and styles but discuss the same opportunities.

Adapting to Market Shifts

When market conditions change (e.g., recent metals rally), traders must respect the learning curve of new assets. Don't impose old playbooks on new markets; instead, study how different participants trade them and adapt accordingly.

From Baseline to A+ Opportunities

When markets shift and A+ setups disappear, successful traders return to baseline playbooks to rebuild momentum. This isn't failure; it's strategic patience. The next big opportunity will come, and traders with baseline momentum will be ready.

AI and Modern Tools

ChatGPT for Five Whys

SMB uses a ChatGPT prompt to accelerate the five whys process. The model helps traders dig deeper and reach solutions faster than manual analysis. AI is a research assistant and process accelerator, not a trading system.

AI for Data Exploration

With large datasets, AI helps traders explore edges and make process adjustments faster. Instead of discussing 'what if' scenarios, traders can now test them in minutes. This speeds up skill development without changing the core process.

Notable quotes

The big thing for our goals as a trader is to take your P&L curve, and it needs to look something like that. — Jeff Holden

We've had hundreds of traders do this and they almost always can get clarity on what the real issue is. — Jeff Holden

If you look back through daily report cards, year over year, the number of small wins generated will dictate the success that you have as a trader. — Jeff Holden

Action items

Start a daily report card: each day, list 3-4 mistakes without judgment. Collect for one week to identify patterns.

Pick your #1 recurring mistake and apply the five whys technique—ask 'why' five times to find the root cause, not the symptom.

Identify one playbook to master first. Study entries, exits, and price action until you can execute it consistently.

Grade each trade (A+, A, B, or C) and allocate risk accordingly: A+ gets 80% of daily stop, B gets 15%, C gets 5%.

Set a clear exit rule for your first playbook (e.g., close below 9 EMA) and commit to it for at least one month.

Find one other trader to work with as a pod. Share observations on the same setups but execute in your own style.

Track small wins weekly. After 4-5 weeks, review your progress—focus on process consistency, not P&L.

When market conditions shift, return to baseline playbooks to rebuild momentum rather than chasing A+ setups.

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